VISA

Using AI

to secure the future of payments

Four fraud trends, what they mean for the future of payments, and how investments in AI can help financial institutions to see more clearly, take more control, and remove more roadblocks from their payment flows.

Digital technologies are transforming our world. They touch almost every aspect of our everyday lives and our work. And, with the rapid emergence of Artificial Intelligence (AI), we are set to see another step change in the capacity and capability of digital technologies.

It's important to remember that the technological advances we see in our lives and our work are also available to today's criminals. And, whenever these two dimensions combine – technological advancement and criminality – more pressure is always put on the payment ecosystem.

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Identifying four emerging trends

Here are four related trends we see at Visa:

TREND #1

From a four-party system to a multi-party ecosystem

In recent years, the entire structure of our industry has changed. We've moved from a few, well-vetted participants, assuming clear lines of responsibility, to a truly dynamic multi-party ecosystem, encompassing countless vendors, service providers, sponsors, and intermediaries.

Consequently, the attack surface is much larger, the lines of responsibility become more blurred, and the potential points of compromise are much more numerous.

TREND #2

From lone wolves to pack hunters

A few years ago, the world of the fraudsters was clearly delineated. A large compromise event typically had a few key actors (like a middleman, a dark web collaborator, a counterfeiter, and a mule), who were known to each other, followed clear protocols, and had well-defined roles.

Today, there's much more fluidity. Criminals collaborate like never before, behaving in the way that many businesses would like to: they are extremely agile, quick to identify and enlist specialist skills and technologies, can scale up quickly, and typically use multiple digital channels to organise and communicate.

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TREND #3

From digitally savvy to AI enabled

Many of the AI tools, tricks and capabilities available to us on the surface web already have their equivalents on the dark web – from AI-enabled marketplaces to identify and buy specialist skills, to AI-enabled dark web search engines, to AI chatbots configured specifically for crime, to polymorphic malware creation engines, to AI-powered biometric bypass and deepfake capabilities covering voice cloning, image cloning, and video cloning.

Also, these AI tools are often being actively positioned and promoted for specific types of crime – like cashouts, or brute force attacks.

TREND #4

From high complexity to hyper complexity

Consumer behaviours and expectations continue to evolve. Trends like open banking and open data, "phygital" retail experiences, and the emergence of AI-enabled personal digital assistants (PDAs), are all gathering pace and bringing far more seamless and personalised retail experiences.

This, in turn, brings yet more players into the payment ecosystem and opens yet more attack surfaces and opportunities. And, from a fraud management perspective, it means that a highly complex environment is set to become even more complicated.

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Investing in AI solutions to counter an increasing cyber threat

Given the circumstances, most analysts estimate that the prevalence and costs of cybercrime are set to escalate. For example, a recent paper by the World Economic Forum says that the global cost of online criminal acts is expected to surge to **USD 23.84 trillion** by 2027, up from **USD 8.44 trillion** in 2022.[1]

As ever, the global payment ecosystem will be a focus for criminals. And, as ever, they will continually probe, looking for new vulnerabilities to exploit. In this regard, the card-based payment system has performed incredibly well, especially here in Europe.

In the last five years, Visa has invested more than **USD 10 billion** in cybersecurity protection and in creating a more robust and secure ecosystem.[2] As the first organisation in the payments industry to use AI for fraud prevention, we understand the value of this technology for identifying and preventing fraud, which has enabled us to help prevent **USD 41 billion** worth of fraudulent transactions in the past year alone.[3] For example, in the year to April 2024, the fraud rate on at-risk Visa accounts fell by more than 21%,[4] demonstrating the success in addressing some of the main vulnerabilities in the system – with Visa products and solutions routinely protecting half a billion transactions a day.

Pinpointing and addressing the new pockets of vulnerability

Given the overall success in protecting the integrity of card-based payments, criminals have been shifting the focus of their attention.

In particular, Visa analysis and intelligence suggests that criminals are increasingly targeting alternative payment rails, such as account-to-account payments, wire transfers, and crypto payments – which are often subject to fewer safeguards, can be more prone to social engineering attacks, and typically have less mature consumer protection measures.

Given this backdrop, Visa has been deploying its proven AI-enabled fraud protection capabilities for **account-to-account payments**. In the UK, for example, we ran a pilot with Pay.UK to analyse billions of historic UK retail bank transactions (more than 50% of the annual UK account-to-account transactions), covering a 12-month period. The aim was to find out whether Visa's AI-enabled fraud detection systems could have identified more fraud than the banks' existing systems – and an additional **54%** of fraud was uncovered, representing a potential saving of **GBP 330 million**.[5]

To help clients address today's payment vulnerabilities, Visa has developed its Visa Protect suite of enterprise risk solutions, which focus on three priority areas:

1. World Economic Forum, 2023 was a big year for cybercrime – here's how we can make our systems safer, 2024: https://www.weforum.org/agenda/2024/01/cybersecurity-cybercrime-system-safety/
2. Visa, Visa's Growing Services Business Infused with New AI-Powered Products, 2024: https://investor.visa.com/news/news-details/2024/Visas-Growing-Services-Business-Infused-with-New-AI-Powered-Products/default.aspx
3. Visa, Visa's Growing Services Business Infused with New AI-Powered Products, 2024: https://investor.visa.com/news/news-details/2024/Visas-Growing-Services-Business-Infused-with-New-AI-Powered-Products/default.aspx
4. VisaNet data, At-Risk Account CNP Fraud Rate Trend, May 2023-April 2024
5. Visa, Visa's new AI tool for Faster Payments could help save UK over £330m a year on fraud and APP scams, May 2024: https://www.visa.co.uk/about-visa/newsroom/press-releases.3326480.html

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PRIORITY #1

See clearly

Stop fraud without stopping the flow of business.

Drawing on decades of experience in AI and payments expertise, one of the aims of the Visa Protect suite of solutions is to help payment businesses to spot fraud and safeguard transactions. This includes real-time, AI-enabled decisioning across authentication, authorisation and real-time payments, which is network and scheme agnostic, and is backed by support from Visa risk experts.

PRIORITY #2

Take control

Make informed risk management decisions.

Every payment business has its own unique circumstances, so it's vital to have the freedom to create your own rules and optimise your risk strategies across all payment types and channels. Through Visa Protect's suite of AI-powered solutions and services, and easy-to-use real-time AI scores, it's possible to optimise fraud rules to prevent, detect, and eradicate threats.

PRIORITY #3

Remove roadblocks

Eliminate friction for your customers and your teams.

One of the big benefits Visa brings to the payment ecosystem is its shared intelligence and insights on fraud trends and vulnerabilities, and how best to stop fraud, not growth. Alongside the Visa Protect suite of automations and tools, clients can get direct access to comprehensive risk management expertise, including managed services and bespoke consulting services.

Learn more

For more information on Visa Protect risk solutions, visit **here**.

As-Is

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